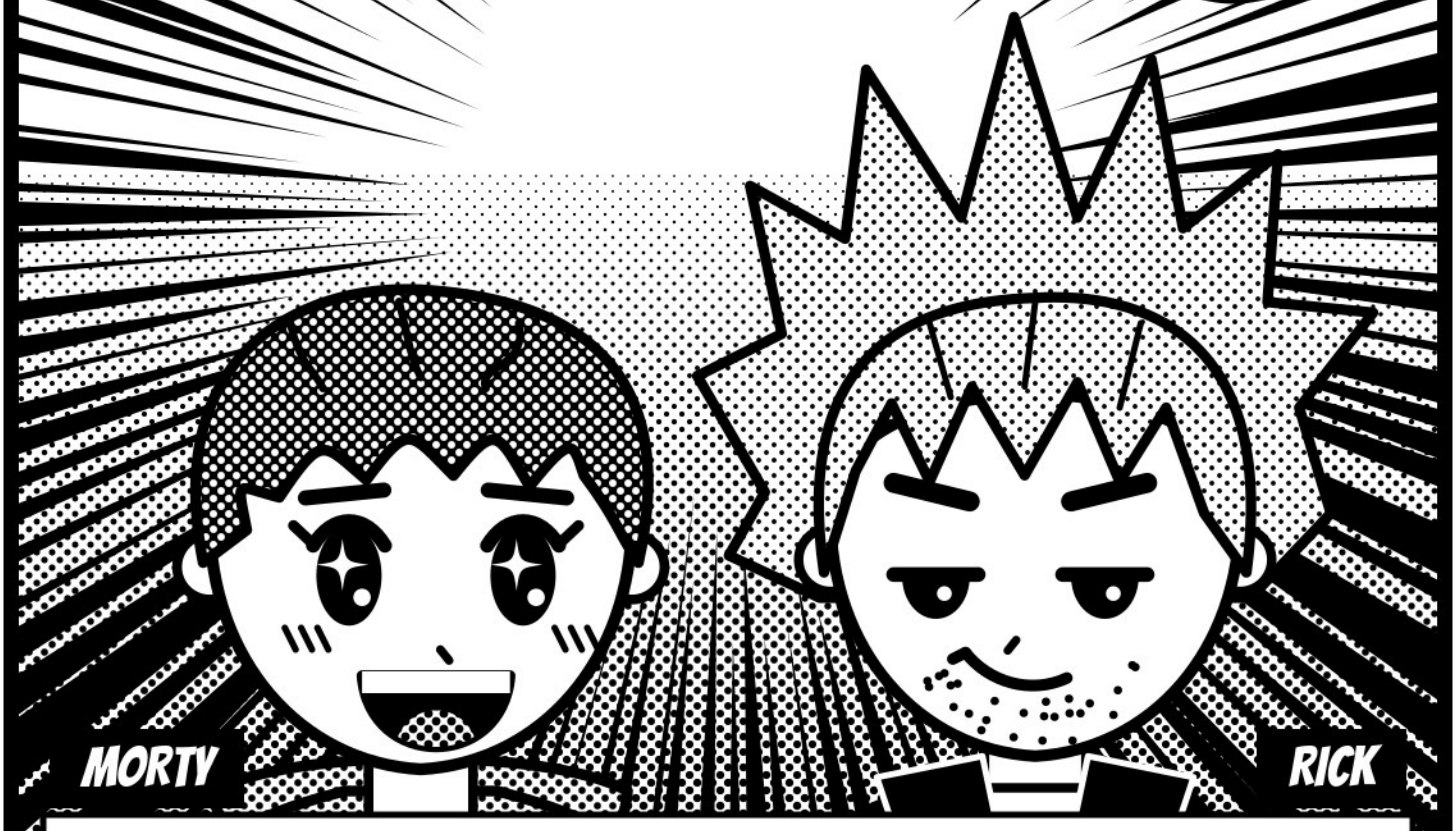
MONEY BRAINROT

MODULE 3 · UNDERSTAND INVESTING

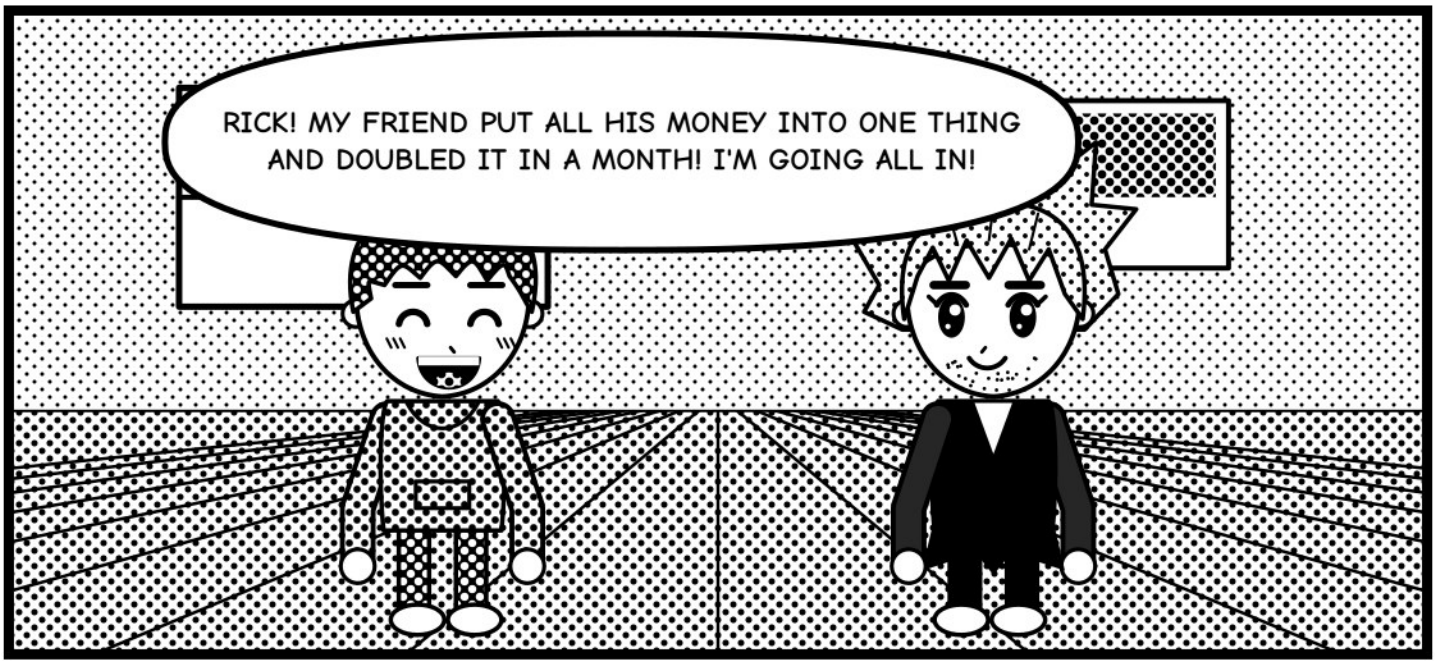
# RISK & RETURN

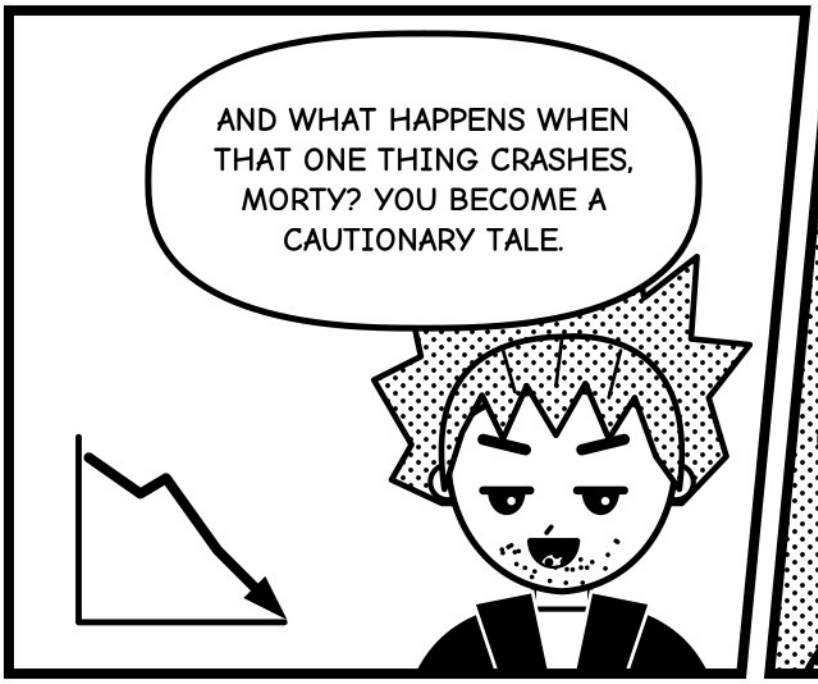
PART 1 OF 2

REEL 6




#RiskAndReturn #Diversification #DontPutAllEggsInOneBasket
#InvestingBasics #FinancialLiteracy #MoneyBrainrot


RICK! MY FRIEND PUT ALL HIS MONEY INTO ONE THING AND DOUBLED IT IN A MONTH! I'M GOING ALL IN!


AND WHAT HAPPENS WHEN THAT ONE THING CRASHES, MORTY? YOU BECOME A CAUTIONARY TALE.


IT W-WON'T CRASH. IT ONLY GOES UP.


THAT'S WHAT EVERYONE SAYS RIGHT BEFORE IT CRASHES. RULE ONE. RISK AND RETURN ALWAYS COME TOGETHER.


SAFER OPTIONS GROW SLOWLY AND STEADILY. RISKIER ONES MIGHT GROW MORE, BUT THEY CAN ALSO FALL HARD, SOMETIMES REALLY FAST.
A BIGGER POSSIBLE REWARD ALWAYS MEANS A BIGGER POSSIBLE LOSS.
SO RISKY STUFF IS BAD?
?
NOT BAD. JUST RISKY. IT DEPENDS ON TWO THINGS. FIRST, WHEN DO YOU NEED THE MONEY?


IF YOU NEED IT NEXT MONTH FOR FEES, IT SHOULD NOT BE ANYWHERE RISKY.
MONEY YOU WON'T NEED FOR MANY YEARS CAN HANDLE MORE UPS AND DOWNS. SECOND, HOW WOULD YOU FEEL IF IT DROPPED A LOT?
IF YOU'D PANIC, THAT'S TOO MUCH RISK FOR YOU.




## REMEMBER THIS

1. Risk and return come together. A bigger possible reward means a bigger possible loss.
2. Risky isn't bad, it just depends. When do you need the money? How would you feel if it dropped a lot?
3. Money you need soon should not be anywhere risky. Money for many years away can handle more ups and downs.
4. For learning, not investment advice.